

DIY Accounting Taxi Driver User Guide

Thank you for using DIY Accounting as your accounting system.

Written upon excel spreadsheets the Cabsmart accounting system is based upon single entry accounting principles which has been automated through use of excel formulae significantly reducing the need for bookkeeping or accounting knowledge with all accounting entries automated.

Entering the data is no more complicated than entering your financial information in 3 lists:

- Enter sales receipts on the **Taxi Receipts** spreadsheet.
- Enter expenses on the **Expenses** spreadsheet.
- Enter vehicle purchases and sales on the **Fixed Assets** spreadsheet.

Designed to be fast and easy to enter the accounting system is formula driven so that minimum data is entered with automated analysis producing monthly profit & loss accounts, and an excel copy of the all important self assessment tax return ready for printing and copying to the Inland Revenue paper copy or filing directly online.

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Getting Started

This section details the steps required to install and run DIY Accounting Taxi Driver.

Download and Install

1. Go to the download page on the DIY Accounting website.
2. Download the package for your version of Excel.
3. Save the zip file to a location on your computer, ideally in your Documents folder.
4. Extract the contents of the zip file to a new folder by right clicking on the zip file and selecting "Extract All".
5. Open the extracted folder — you will find the spreadsheet file and this guide.

Open the Spreadsheet

1. Open the financial accounts spreadsheet file.
2. If prompted about macros or protected view, click "Enable Editing" and/or "Enable Content".
3. The **Home** sheet provides navigation links to all worksheets.
4. Click any link on the Home sheet to navigate to that worksheet.

Taxi Driver Accounts			
[Financialaccountsyearto050426.xlsx]			
Click a link below to navigate to the desired page.			
To return to the home page click the Home tab. If you can't see the Home tab, you can scroll to it by clicking the ◀ symbol (bottom left).			
Preparation	Taxi Receipts	Expenses	Results
Business Details	SalesApr	PurchasesApr	SE Short
Fixed Assets	SalesMay	PurchasesMay	Profit & Loss Acc
	SalesJun	PurchasesJun	Draft Tax Calculation
	SalesJul	PurchasesJul	
	SalesAug	PurchasesAug	
	SalesSep	PurchasesSep	
	SalesOct	PurchasesOct	
	SalesNov	PurchasesNov	
	SalesDec	PurchasesDec	
	SalesJan	PurchasesJan	
	SalesFeb	PurchasesFeb	
	SalesMar	PurchasesMar	

Home sheet — navigation links to all worksheets

The Home sheet organises the worksheets into four groups:

Preparation	Taxi Receipts	Expenses	Results
Business Details	SalesApr – SalesMar	PurchasesApr – PurchasesMar	SE Short
Fixed Assets			Profit & Loss Acc Draft Tax Calculation

You can also navigate between sheets using the tabs along the bottom of the Excel window.

First Entries

To get started with your first month of accounting:

1. Navigate to the **SalesApr** sheet (or the first month of your tax year).
2. Enter your daily taxi fares alongside the pre-filled dates.
3. Navigate to the **PurchasesApr** sheet.
4. Enter your expense transactions following the column guide below.
5. Check the **Profit & Loss Acc** sheet — your entries should appear automatically.

Back Up

It is important to back up data at regular intervals. It is recommended that the files are backed up each week by emailing the files to yourself and then filing the most recently emailed files in a separate folder in your mail box.

Preparing to Get Started

Before starting entries to the worksheets there is a small amount of customisation to be carried out in relation to updating of accounting information relating to vehicles that existed at the start of the financial year.

Business Details

The **Business Details** sheet captures your business information — name, postcode, business start date, and accounts date. These details are transferred to the Self-Employment Tax Return.

ENTER YOUR BUSINESS DETAILS - which are then transferred to the Self-employment Tax Return	
Your name	Your unique taxpayer reference (UTR)
1 Description of business	4 If you are a foster carer or adult placement carer, put 'X' in the box - read page SESN 2 of the notes
Taxi Driver	
	5 If your business started sifter enter the start date DD/MM/YYYY
	Sunday, April 6, 2025
2 Postcode of your business	6 If your business ceased before enter the final date of trading
	Sunday, April 5, 2026
3 If your business name, description, address or postcode have changed in the last 12 months, put 'X' in the box and give details in the 'Any other information' box of your Tax Return	7 Date your books or accounts are made up to - read page SESN 2 of the notes
	05/04/2026
26 ENTER: Total losses brought forward from earlier years	24 ENTER: Value of goods and services for your own use - read page SESN 7 of the notes
£ . 0 0	£ . 0 0
Loss used this year	Total loss carried forward to future years
Calculated no entry required	Calculated no entry required
£ 0 . 0 0	£ 0 . 0 0

Business Details sheet — enter your business information here

Existing Vehicles

Enter in the green shaded area details of existing vehicles at the start of the financial year require updating on the fixed asset schedule located in the Financial Accounts workbook on the **Fixed Assets** sheet.

The fixed asset schedule requires to be updated with the assets existing at the start of the financial year. There are 3 categories of existing assets to be recorded:

- Other Fixed Assets bought before the tax year start
- Vehicles under 12,000 bought before the tax year start

- Vehicles over 12,000 bought before the tax year start

Record only assets purchased prior to the tax year start in the green area. For vehicles record the make and model, registration mark, purchase invoice details, the original purchase cost and the date purchased. If you have more than one vehicle enter each separately and note vehicles costing over 12,000 are treated differently for tax purposes than vehicles costing under 12,000, capital allowances being restricted to a maximum of 3,000 p.a.

If the vehicle is also used for personal as well as business purposes then enter the percentage of private use based upon mileage covered in column F. This “private use percentage” has the effect of reducing the level of capital allowances claimed by the percentage entered in column F.

If any of these assets have previously been the subject of a capital allowance by yourself it is also necessary to record the Written Down Value at the start of the tax year. Written Down Value is the purchase cost of the asset less capital allowances already claimed. If you know the written down value of your vehicle from last years financial accounts, then enter that amount in column H against the appropriate asset/vehicle details. If you do not know the written down value then your accountant should be able to provide this figure. If you have never claimed capital allowances on your vehicle the written down value is the same figure as the original purchase cost.

Protection and Parameters

Worksheet Protection

Financial Accounts spreadsheets are protected to preserve the formulae. A protection password was not used except on the self assessment tax return which is password protected. The password is not provided for copyright reasons.

To unprotect a sheet, go to the menu bar:

- Click **Tools > Protection > Unprotect Sheet** (or **Review > Unprotect Sheet** in modern Excel)

The data entry spreadsheets Taxi receipts and Expenses have not been protected. A manual entry in any cell containing a formula will overwrite that formula. Only enter data in cells that do not contain formulae.

Create a back-up copy of your spreadsheets for use as a test model and also provide a source from which any formula driven cells subsequently overwritten may be replaced.

Formulae Parameters

Preset formulae have been entered in the monthly Expenses spreadsheets down to row 204. This allows up to 200 purchase transactions to be entered each month and analysed which is sufficient for all known self employed taxi drivers.

If the number of purchase transactions exceeds 200 in any month the formulae will require extending to the additional rows used. To extend the formula driven cells click each formula bearing cell in the row, place the cursor on the bottom right hand corner of the cell, a + appears, click and drag the + down to the required row number. Note do NOT click and drag formula cells ACROSS the page as this destroys the formulae.

Column Totals

There is no need to change the formula in row 1 which totals each column as this has been preset on both the sales and purchase spreadsheets to add up all cells in each column down to row 999.

Printing Parameters

Printing areas of the sales and purchase spreadsheets have been restricted to the first 68 rows. This prevents many sheets of blank pages being printed if rows below 68 are not used.

To change the printing area to suit your own requirements:

- Go to the menu option: Click **File > Page setup > Sheet**
- In the "Print area" box delete 68 and enter the number of rows to be printed

Taxi Receipts Spreadsheet

Transactions to be recorded are from the start to the end of the tax year. There are 12 monthly sales sheets: **SalesApr, SalesMay, SalesJun, SalesJul, SalesAug, SalesSep, SalesOct, SalesNov, SalesDec, SalesJan, SalesFeb, SalesMar.**

Each monthly sheet has **every day of the tax year pre-filled** as rows, grouped into Monday-Sunday weeks. The tax year always starts on 6 April and ends on 5 April of the following year.

Sales Receipts

Sales Date	Day	Total for Month	0	3,000.00	0.00
		Customer Name (rental/other income)	Sales Mileage	Gross takings including tips	Other Income (start up grants)
6-Apr-25	Sunday				
6-Apr-25	Rental due				
6-Apr-25	Any other income				
				0.00	0.00
7-Apr-25	Monday			200.00	
	Tuesday			220.00	
9-Apr-25	Wednesday			180.00	
10-Apr-25	Thursday			210.00	
11-Apr-25	Friday			190.00	
12-Apr-25	Saturday				
13-Apr-25	Sunday				
13-Apr-25	Rental due				
13-Apr-25	Any other income				
				1,000.00	0.00
14-Apr-25	Monday			200.00	
	Tuesday			220.00	
16-Apr-25	Wednesday			180.00	
17-Apr-25	Thursday			200.00	
18-Apr-25	Friday			200.00	
19-Apr-25	Saturday				
20-Apr-25	Sunday				
20-Apr-25	Rental due				
20-Apr-25	Any other income				
				1,000.00	0.00
21-Apr-25	Monday			200.00	
	Tuesday			200.00	
23-Apr-25	Wednesday			200.00	
24-Apr-25	Thursday			200.00	
25-Apr-25	Friday			200.00	
26-Apr-25	Saturday				
27-Apr-25	Sunday				
27-Apr-25	Rental due				
27-Apr-25	Any other income				
				1,000.00	0.00

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GB_Accounts_Taxi_Driver_2026_04_305_Apr26_Excel_2007_taxi-scenario-basic.xlsx SalesApr

SalesApr sheet — pre-filled daily dates with weekly subtotals for taxi fares

Data Entry

The columns for entering details of your sales are A-F:

- **Column A** — Date of the sales transaction has been pre-entered for you
- **Column B** — Relevant day has been pre-entered for you
- **Column C** — Enter the customer name or source of sale if you need to keep a note of the sales source, e.g. source of other income receipts or the name of rent due
- **Column D** — Enter the mileage incurred in connection with the days sale. Note you may only claim mileage allowances if you are not claiming motoring costs such as the vehicle cost,

repairs, tax, insurance, or fuel. If you wish to claim vehicle expenses rather than mileage allowance leave this column blank. It is recommended that you record the daily mileage to enable the most tax beneficial option to be selected

- **Column E** — Enter the total amount of fares received including any gratuities
- **Column F** — Enter other income such as business start up grants. Note do not include any amounts recorded in this column in column E as they do not form part of business turnover and are accounted for separately on the self assessment tax return

Note: Accurate mileage claims are important as should HMRC subsequently inquire into your tax return they may request documents such as MOT certificates to check the total mileage and would certainly test whether the mileage was consistent with the amount of sales received.

Weekly Structure

Each week in the Sales sheets runs Monday to Sunday. At the end of each week (Sunday), two additional rows appear:

- **Rental due** — for recording weekly taxi rental payments
- **Any other income** — for any other income received that week

A weekly subtotal row follows, automatically summing the week's fares and other income.

What Happens to the Information Entered?

Row 1 totals each column. The totals of each sheet are then collected by the financial accounting spreadsheet to produce the monthly profit and loss account and self assessment tax return. The sales mileage if recorded is also automatically transferred to the purchases spreadsheet which adds the sales mileage to the purchase mileage and calculates the mileage allowance.

Expenses Spreadsheet

Transactions to be recorded are from the start to the end of the tax year. There are 12 monthly purchase sheets: **PurchasesApr**, **PurchasesMay**, **PurchasesJun**, **PurchasesJul**, **PurchasesAug**, **PurchasesSep**, **PurchasesOct**, **PurchasesNov**, **PurchasesDec**, **PurchasesJan**, **PurchasesFeb**, **PurchasesMar**.

[illegible]

GB_Acts_180_Taxi_Driver_2026_04_05_Apr26_Excel_2007_taxi-scenario-basic.xlsx PurchasesApr

PurchasesApr sheet — enter expenses with date, supplier, expense code, and amount

Data Entry

The columns for entering details of your purchases are A-F and T-V.

- **Column A** — Enter the date of the purchase transaction
- **Column B** — Enter the supplier's name or source of purchase
- **Column C** — Enter your reference number of the transaction or purchase invoice number
- **Column D** — Enter a single letter to identify the type of expenditure in the expense code column to automatically update the expense analysis. Eligible letters and definitions of column headings are shown in the [glossary](#). Entry of this expense code is mandatory
- **Column E** — Enter the mileage incurred in connection with the purchase. Should a journey be completed without a purchase enter the date and nature of the journey on a separate line excluding sales mileage that can be entered on the sales spreadsheet. You may only claim mileage allowances if you are not claiming vehicle running costs such as the vehicle cost, repairs, tax, insurance, or fuel. It is recommended that you include both vehicle running costs and mileage covered on the expense sheet as this enables the cost comparison to be made in the Profit & Loss Account
- **Column F** — Enter the gross purchase value of the transaction including Vat
- **Column T** — Enter a concise description of the vehicle. This description will be useful when completing the capital allowance worksheet which is located within financial accounts

Formulae Driven Automated Columns

No entries required in these columns:

- **Columns G-S** — The letters entered in column D automatically update the expense analysis

Mileage Allowances

Purchase and sales mileage are calculated, totalled and included as a business expense on row 4. No manual entry is required on row 4 as it has been automated. The formulae in respect of mileage allowances automatically calculate the amount in accordance with current HMRC rates of 45p for the first 10,000 miles and 25p per mile thereafter.

Financial Accounts

Fixed Assets — Capital Allowances

Vehicle depreciation has not been calculated in the accounting system since it has no effect on the business tax, depreciation is disallowed as an expense. Instead the business receives tax allowances on the cost of assets, vehicles, to set against its profit.

Currently 18% of the cost of the vehicle, restricted to a maximum of 3,000 for vehicles costing over 12,000, can be set off against profits in the year purchased. First Year Allowances are not applicable to cars except vans which being commercial vehicles as are hackney cabs and included in the other assets section and attract the 100% annual investment allowance. The remaining value of vehicles is written off against future years profits at 20% of the book value remaining, again restricted for vehicles costing over 12,000.

Fixed Assets Capital Allowances
6 April 2015 - 5 April 216

TOTAL FIXED ASSETS AT Sunday, April 5, 20260.00				Enter % Personal use of vehicles	0.00	0.00	0.00	0.00	Date Asset or Vehicle Sold	0.00	0.00	0.00
Date Asset Purchased	Asset Description	Purchase Reference	Original Cost		W Down Net Value	Annual Investment Allowance	W Down Allowance	W Down Net Value		Sales Value	Capital Allowance	Balancing Charge
					6-Apr-25	100%	18%	5-Apr-26				
Fixed Assets including Commercial vehicles bought before 6-Apr-25												
Fixed Assets incl Commercial vehicles bght before 6-Apr-25					0	0.00	0	0.00		0.00	0.00	0.00
Vehicles under £12,000 bought before 6-Apr-25												
Sub total Vehicles under £12000 purchased before 6-Apr-25					0	0.00	0	0.00		0.00	0.00	0.00
Vehicles over £12,000 bought before 6-Apr-25												
Sub total Vehicles over £12000 purchased before 6-Apr-25					0	0.00	0	0.00		0.00	0.00	0.00

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GB_A&C&D&E_Taxi_Driver_2026_04_05_Apr26_Excel_2007_taxi-scenario-basic.xlsx Fixed Assets

Fixed Assets sheet — existing and new vehicles with automatic capital allowance calculations

Data Entry

Enter details of vehicles purchased during the year in the blue shaded area. Enter the details of each vehicle on a separate row. Other cream shaded areas contain complex formulae that should NOT be overwritten.

- **Column A** — Enter date vehicle or asset purchased
- **Column B** — Enter vehicle make and model and registration number
- **Column C** — Enter invoice number or other purchase reference
- **Column D** — Enter amount paid for the vehicle
- **Column F** — Enter the percentage of private use of the vehicle which will automatically restrict the capital allowances calculated on this worksheet
- **Column H** — No entries required in this column as the written down value of the vehicle is not calculated until the end of the tax year in which it was purchased. Enter of written down values are ONLY required for vehicles existing at the start of the financial year

If the vehicle is sold during the financial year:

- **Column M** — Enter the date vehicle sold in the yellow shaded area
- **Column N** — Enter amount received for the vehicle in the yellow shaded area

Formulae Driven Automated Columns

No entries required:

- **Column I** — Automatically calculates the first year allowance
- **Column J** — Automatically calculates the writing down allowance
- **Column P** — Automatically calculates any additional capital allowance applicable if the vehicle has been sold at a price below the tax written down value
- **Column O** — Automatically calculates the balancing charge, this is the amount of capital allowances already claimed that have to be written back if the vehicle has been sold at a price higher than the net written down value for tax purposes

Profit and Loss Account

This worksheet has been protected as no manual entries are required. It is fully automated.

Financial accounts for the period
6 April 2017 to 5 April 2018

Profit & Loss account automatically updates with the most tax efficient option	0		CABSMART MOST TAX EFFICIENT OPTION IS >>>>							VEHICLE EXPENSES	4980	Enter mileage and vehicle expenses on the sales and expenses sheet and the formula will automatically select the best option		
Profit & Loss Account	TOTAL 2025-26	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	
Sales Turnover	36,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	
Fuel & Oil Expenses	3,600	300	300	300	300	300	300	300	300	300	300	300	300	
Car Hire/Vehicle Leasing	0	0	0	0	0	0	0	0	0	0	0	0	0	
Repairs, servicing and parts	0	0	0	0	0	0	0	0	0	0	0	0	0	
Road tax and insurance	1,380	1,380	0	0	0	0	0	0	0	0	0	0	0	
Capital Allowances	0	0	0	0	0	0	0	0	0	0	0	0	0	
Mileage Allowance	0	0	0	0	0	0	0	0	0	0	0	0	0	
Cost of Sales	4,980	1,680	300	300	300	300	300	300	300	300	300	300	300	
Gross Profit	31,020	1,320	2,700	2,700	2,700	2,700	2,700	2,700	2,700	2,700	2,700	2,700	2,700	
Employee costs	0	0	0	0	0	0	0	0	0	0	0	0	0	
Premises costs	0	0	0	0	0	0	0	0	0	0	0	0	0	
General admin expenses	480	120	0	0	120	0	0	120	0	0	120	0	0	
Advertising & promotion	0	0	0	0	0	0	0	0	0	0	0	0	0	
Legal & professional	900	400	0	0	0	0	0	0	0	0	500	0	0	
Interest	0	0	0	0	0	0	0	0	0	0	0	0	0	
Other finance charges	0	0	0	0	0	0	0	0	0	0	0	0	0	
Other expenses	0	0	0	0	0	0	0	0	0	0	0	0	0	
Total Expenses	1,380	520	0	0	120	0	0	120	0	0	620	0	0	
Net Profit/Loss	29,640	800	2,700	2,700	2,580	2,700	2,700	2,580	2,700	2,700	2,080	2,700	2,700	
Any Other Business Income	0	0	0	0	0	0	0	0	0	0	0	0	0	
Financial Business Health Check														
Forecast Profit	29,640	800	2,700	2,700	2,580	2,700	2,700	2,580	2,700	2,700	2,080	2,700	2,700	
Drawings Week 1	0													
Drawings Week 2	0													
Drawings Week 3	0													
Drawings Week 4	0													
Income Tax & NI Liability	4,438	370	370	370	370	370	370	370	370	370	370	370	370	
Financial Health Check	25,202	430	2,330	2,330	2,210	2,330	2,330	2,210	2,330	2,330	1,710	2,330	2,330	

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GB_Accounting_1301_Driver_2026_04_05_Apr26_Excel_2007_taxi-scenario-basic.xlsx Profit & Loss Acc

Profit & Loss Acc sheet — automated monthly profit and loss with vehicle cost comparison

All the financial information is generated automatically from the sales, purchases and payroll sheets each month to produce a monthly profit and loss account and the annual result to date.

The Profit & Loss Acc sheet shows:

- **Sales Turnover** — monthly and annual total from all SalesApr-SalesMar sheets
- **Vehicle expenses** — fuel & oil, car hire, repairs, road tax & insurance, capital allowances, mileage allowance
- **Cost of Sales** — total vehicle running costs

- **Gross Profit** — sales less cost of sales
- **General Expenses** — employee, premises, admin, advertising, legal, interest, bank charges, other
- **Net Profit/Loss** — gross profit less total expenses
- **Financial Health Check** — forecast profit, drawings, income tax & NI liability

Its usefulness is to enable progress to a successful financial result to be monitored and should banks or other institutions request up to date accounts then you have exactly that at the touch of a print button.

Vehicle Cost Comparison

The heading of the profit & loss account worksheet automatically compares your vehicle running costs including capital allowances with a mileage expense claim and automatically selects which method — vehicle costs or mileage — is the most tax efficient option. The message displayed advises of the option selected.

It is recommended you continue to enter both until the financial year end in case circumstances change, if for example a new vehicle is purchased. You cannot claim both mileage and vehicle expenses and the formula in the spreadsheets prevent this by choosing the most tax efficient option from the information entered.

VitalTax Summary

No entries required. The VitalTax sheet provides a quarterly summary of your business performance, breaking down turnover, expenses, and profit by quarter.

Financial accounts for the period 6 April 2020 to 5 April 2021						
VitalTax summary	Q1	Q2	Q3	Q4	Annual	Notes
Turnover	9,000	9,000	9,000	9,000	36,000.00	
Other income	0	0	0	0	0.00	
Cost of goods bought	0	0	0	0	0.00	
Allowable expenses						
Staff costs	0.00	0.00	0.00	0.00	0.00	
Premises running costs	0.00	0.00	0.00	0.00	0.00	
Maintenance	1,380.00	0.00	0.00	0.00	1,380.00	
Admin	120.00	120.00	120.00	120.00	480.00	
Financial charges	0.00	0.00	0.00	0.00	0.00	
Travel	900.00	900.00	900.00	900.00	3,600.00	
Advertising	0.00	0.00	0.00	0.00	0.00	
Professional	400.00	0.00	0.00	500.00	900.00	
Bad debt	0.00	0.00	0.00	0.00	0.00	Not captured in DIY Accounting
Interest	0.00	0.00	0.00	0.00	0.00	
Other	0.00	0.00	0.00	0.00	0.00	
CIS payment to subcontractors	0.00	0.00	0.00	0.00	0.00	Not captured in DIY Accounting
Business entertainment	0.00	0.00	0.00	0.00	0.00	Not captured in DIY Accounting
Depreciation	0.00	0.00	0.00	0.00	0.00	
Total allowable expenses	2,800	1,020	1,020	1,520	6,360	
Disallowable expenses						
Cost of goods bought	0.00	0.00	0.00	0.00	0.00	Not captured in DIY Accounting
CIS payment to subcontractors	0.00	0.00	0.00	0.00	0.00	Not captured in DIY Accounting
Staff costs	0.00	0.00	0.00	0.00	0.00	Not captured in DIY Accounting

VitalTax sheet — quarterly summary of business performance

Draft Tax Calculation

No entries required. Fully automated and available in real time to determine the Income Tax and National Insurance contributions payable.

Provisional tax calculation
precise figures will depend upon personal circumstances

TAXATION CALCULATION 2025-26		This section an indication and for your information only	
Profit from Self employment			29,640.00
Minus Personal Allowance 2025-26			12,570
Total income on which tax is due			17,070.00
Income Tax first band 0	0%		0.00
Income Tax second band 0	20%		3,414.00
Income Tax payable			3,414.00
<i>Amounts Payable by Sunday, January 31, 2027</i>			
Class 4 NI Contribution Lower - Upper profits	6%		1,024.20
Class 4 NI Contribution Upper profits	2%		0.00
TOTAL Income Tax & NI Liability			4,438.20
FUTURE TAX LIABILITY (if over £500)		This section for your information only	
		Due Date	Amount Payable
Tax & NI Assessment 2026-27		Previous Year	4,438.20
50% Payable		31-Jan-27	2,219.10
50% Payable		31-Jul-27	2,219.10
NOTES: Working Tax Credit Not taxable and not added to self employment income for tax purposes Pension Entitlement To receive Full Pension entitlement NI has to be paid 44 years out of 49 years (16 - 65) UK residents aged 60 - 65 get 5 years bonus. To confirm current NI / Pension entitlement years the helpline number is 0845 3000 168			

0323142006nt9-5708Driver_2026_04_05__Apr26_14x06182007_taxi-scenario-basic.xlsx Draft Tax calculation

Draft Tax calculation sheet — provisional tax calculation showing income tax and national insurance

The Draft Tax calculation sheet shows:

- **Profit from Self employment** — carried from the Profit & Loss Acc sheet

- **Personal Allowance** — the tax-free amount for the tax year
- **Income Tax** — calculated at the basic and higher rate bands
- **Class 4 National Insurance** — calculated on profits above the lower threshold
- **Total Income Tax & NI Liability** — the combined amount due
- **Future Tax Liability** — payment on account dates and amounts

Wages Forecast

No entries required. Fully automated and available in real time to determine the Income Tax and National Insurance contributions based upon an automated forecast of the annual profit or loss. The forecast collects the actual profit or loss each month and calculates the average profit or loss based upon the actual months and automatically enters these amounts in future months. This enables an automated calculation of the likely year end liability for tax and national insurance which is then entered on the Profit & Loss Account in the financial health check section.

ACTUAL Profit and Loss Account	Total Year 5-Apr-26	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25
	£	£	£	£	£	£	£
Sales Turnover	36,000	3,000	3,000	3,000	3,000	3,000	3,000
Investment Grants	0	0	0	0	0	0	0
Cost of Sales	4,980	1,680	300	300	300	300	300
Gross Profit	31,020	1,320	2,700	2,700	2,700	2,700	2,700
General Expenses	1,380	520	0	0	120	0	0
Profit (Loss) before Tax	29,640	800	2,700	2,700	2,580	2,700	2,700

FORECAST Profit and Loss Account	Total Year 5-Apr-26	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25
	£	£	£	£	£	£	£
Sales Turnover	12	1	1	1	1	1	1
	36,000	3,000	3,000	3,000	3,000	3,000	3,000
Investment Grants	0	0	0	0	0	0	0
Cost of Sales	4,980	1,680	300	300	300	300	300
Gross Profit	31,020	1,320	2,700	2,700	2,700	2,700	2,700
General Expenses	1,380	520	0	0	120	0	0
Profit (Loss) before Tax	29,640	800	2,700	2,700	2,580	2,700	2,700

FORECAST TAX CALCULATION	
Profit before Tax	29,640
Personal Allowance	12,570
Profit after Allowance	17,070
Tax at standard rate	0
Tax at higher rate	3,414
National Insurance	1,024
TAX & NI LIABILITY	4,438

Wages Forecast sheet — monthly P&L forecast with projected tax liability

Self Employment Tax Return (Short)

No entries are required. All the information is updated automatically from the worksheets. This sheet is password protected to prevent manual entries and protect copyright.

Your name		Your unique taxpayer reference (UTR)	

Business details

1 Description of business Taxi Driver	4 If you are a foster carer or adult placement carer, put 'X' in the box - read page SESN 2 of the notes ☐
2 Postcode of your business 	5 If your business started after Sunday, April 6, 2025 enter the start date DD/MM/YYYY
3 If your business name, description, address or postcode have changed in the last 12 months, put 'X' in the box and give details in the 'Any other information' box of your Tax Return ☐	6 If your business ceased before Sunday, April 5, 2026 enter the final date of trading
	7 Date your books or accounts are made up to - read page SESN 2 of the notes 05/04/2026

Business income - if your annual turnover was below £90000 VAT threshold

8 Your turnover - the takings, fees, sales or money earned by your business £ 36,000 . 0 0	9 Any other business income not included in box 8 - excluding Business Start-up Allowance £ . 0 0
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Allowable business expenses

Read pages SESN 3 of the notes to see which expenses are allowed for tax purposes. If your annual turnover was below £30,000 you may just put your total expenses in box 19, rather than filling in the whole section.

10 Cost of goods bought for re-sale or goods used £ 4,980 . 0 0	15 Accountancy, legal and other professional fees £ 900 . 0 0
11 Car, van and other travel expenses - after private use proportion £ . 0 0	16 Interest and bank and credit card etc. financial charges £ 0 . 0 0
12 Wages, salaries and other staff costs £ 0 . 0 0	17 Telephone, fax, stationery and other office costs £ 480 . 0 0
13 Rent, rates, power and insurance costs £ 0 . 0 0	18 Other allowable business expenses - client entertaining costs are not an allowable expense £ 0 . 0 0
14 Repairs and renewals of property and equipment £ . 0 0	19 Total allowable expenses - total of boxes 10 to 18 £ 6,360 . 0 0

SE Short sheet — self-employment tax return populated automatically from the worksheets

This return is provided to assist in the completion of the year end self employed section of the tax return. All box references on this document are the same as the actual tax return. The SE Short sheet includes:

- **Business details** — description, postcode, start/cease dates, accounts date
- **Business income** — turnover (box 8) and other business income (box 9)
- **Allowable business expenses** — boxes 10-19 populated from the expense analysis
- **Net profit or loss** — box 20 (profit) or box 21 (loss)
- **Tax allowances** — capital allowances from the Fixed Assets sheet

- **Taxable profit** — box 27, net business profit for tax purposes

Taxation

Expense Guidance Notes

The HMRC rules for employees/directors claiming expenses are quite strict since they recognise this area as a potential source of tax avoidance.

To Comply with HMRC Criteria

- Every expense item should ideally be receipted
- Mileage records have to be maintained showing date of journey, reason for journey and mileage covered
- Expenses covering non-employees have to be excluded
- Round sum allowances excluding permitted amounts are extremely frowned upon
- Only the business element of landline and mobile phone bills may be reclaimed
- Only the business element of household bills may be claimed
- Amounts relating to a different business may not be claimed

Mileage Allowances

Everyone can claim as an alternative to vehicle running costs mileage allowances of 45p for the first 10,000 miles and 25p per mile thereafter. The formulae in the spreadsheets automatically calculate these rates. You may not claim mileage allowance and vehicle running costs. Should you choose to claim the mileage allowance then keep good records of mileage covered, purpose of journey. You might consider entering the mileage against sales or purchase invoices which naturally provides the date and purpose of the journey.

Travel & Subsistence Allowances

- You may claim a lunch allowance of 5 or the receipted amount if larger, provided there is only yourself present at lunch and you are away from your normal workplace for more than 5 hours
- You may claim a dinner allowance of 10 or the receipted amount if larger, provided there is only yourself present at dinner and you are away from your normal workplace for more than 10 hours
- If you stay away from home overnight you may claim a subsistence allowance of 5 per night to cover incidental expenditure, all other expenditure being receipted. This

allowance is increased to 10 if the overnight stay is out of the UK

- If you stay at a friend or relatives house instead of a hotel you may claim an allowance of 25 per night

Household Expenses

You may claim a proportion of household expenses appropriate to the area of your home used for business purposes. If you claim domestic expenses then specific rooms should be designated as business only. For example, if you reside in a 3 bed-roomed house with a lounge and dining room, ignoring the kitchen and bathroom you have 5 rooms. If one bedroom is used as a store room and the dining room used exclusively as an office then 2 rooms are designated as business use. It would be appropriate for 2/5 of domestic costs to be claimed as a business expense. Use a single room exclusively for business purposes and you could claim 1/5 of the domestic bills.

Domestic bills would be heat & power costs — gas & electricity, rent, general & water rates. If you own the property you can claim mortgage interest (not the capital element) although this is not advised as should you claim mortgage interest HMRC can claim the same proportion of any profit made on that property as a taxable profit when sold.

Partner Assistance

Generally HMRC do not like claims being made by self-employed businesses in respect of partners' wages and normally seek to identify if this claim was real or merely tax avoidance. If partners' wages are claimed as a business expense you should be able to produce evidence that the amount claimed has actually been paid, e.g. pay by cheque to your partners' bank account. The amount paid should be consistent with the amount of work done. For a claim to succeed the partner should have performed specific duties such as the business bookkeeping, placing advertisements, answering sales calls, quoting for work, invoicing clients, delivering goods and services, etc.

Contact Information

Our website is the first place to look for any information: <https://spreadsheets.diyaccounting.co.uk/>

DIY Accounting's spreadsheet packages are maintained and supported under an Open Source model. In return for allowing anyone access to our source files, we find an indefinite low-cost home at GitHub. We continue to keep the website up with

downloads for up-to-date packages. This model relies upon community support (an online forum) and accepting donations instead of retaining paid staff and charging a fee.

Please raise a question in our discussion forum here: <https://github.com/antonycc/diy-accounting/discussions>

Or donate to help keep the packages updated here: https://www.paypal.com/donate/?hosted_button_id=XTEQ73HM52QQW

Glossary: Expense Column Headings

Category	Expense Code	Purchases Column	Description
Fuel & Oil Expenses	D	G	Petrol, diesel and oil. Vehicle hire and leasing costs. Vehicles bought on hire purchase: separate the monthly payment between interest and capital repayment. Include HP interest only in this column. The capital element is ignored as the purchase cost of the vehicle should be recorded in Capital Allowances where the appropriate tax deductions
Car Hire & Vehicle Leasing Costs	H	H	

Category	Expense Code	Purchases Column	Description
			are calculated.
Repairs, servicing and parts	R	I	Repairs, servicing and parts including tyres.
Road tax and insurance	T	J	Road tax, insurance, AA/RAC membership.
Employee costs	E	K	Salaries, wages, bonuses, casual staff. Do not include your own wages and national insurance costs.
Premises costs	P	L	Rent, business rates, water rates, light, heat, power, property insurance and security. Include any amounts of this nature for "use of home" in this column.
General Administrative expenses	G	M	General office expenses including telephone, postage, stationery and printing. Include payments for radio hire in this column.
	A	N	

Category	Expense Code	Purchases Column	Description
Advertising and promotion			Advertising, promotions, mail shots and entertainment costs.
Legal and professional	L	O	Council taxi licence fees. Accountants, solicitors, surveyors, architects, professional indemnity insurance. Costs and fines relating to traffic offences should NOT be included as they are disallowed for tax purposes.
Bank Interest	I	P	Interest on finance payments and bank loans/overdrafts excluding repayment of capital.
Bank Charges and Leasing	B	Q	Bank charges, credit card charges, hire purchase interest and leasing payments excluding repayment of capital.
Other Expenses	O	R	Business expenses not included elsewhere (incl valet).

Category	Expense Code	Purchases Column	Description
Fixed Assets — Motor Vehicles	F	S	Vehicles used for business purposes.